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“The person we try our best to stay away from is the speculator because that is the person who will suffer in a poor economic cycle”

RAJIV SINGH CHAIRMAN, DLF LTD

NCR and Bengaluru recorded the highest annual price jump of over 34% and 20%, respectively.

That is not necessarily a bad thing—at least for developers with an eye on the luxury housing market. In spite of a decline in overall home sales, the top end of the market—driven by high net-worth individuals (HNIs) and non-resident Indians (NRIs)—continues to flourish.

“Despite global economic uncertainties, the demand for high-end properties in India has shown resilience, underscoring the confidence of affluent buyers in the long-term value of premium real estate. There has been an increase in the percentage share for the high income group,” the National Housing Bank wrote in a recent report.

Outstanding loans to high-income earners—those earning ₹18 lakh and more per year—grew to ₹1.1 lakh crore in September 2024 from ₹83,838 crore in September 2023. The growth accelerated to 29.4% during the year from 18.8% a year ago.

Robin Mangla, president of real estate developer M3M India Ltd, is gung-ho about the growing prominence of luxury homes in Delhi-NCR, where 34% of real listings are now priced above ₹10 crore. “This surge is driven by increasing demand from HNIs, NRIs, and investors seeking exclusivity, space, and premium amenities,” says Mangla.

The market in and around the capital that has been hurt by poor sales, unfinished projects and fraudulent developers for years,

has been growing at a brisk pace since 2023 and managed to beat the downturn in 2024.

The NCR market recorded growth while sales in other key markets declined.

Mangla says a combination of strategic infrastructure developments like the Dwarka Expressway and the Noida International Airport and an expanding population of affluent buyers is creating an “environment ripe for growth.”

Parvinder Singh, CEO of Trident Realty, concurs. “We are observing an extraordinary rise in the demand for luxury homes (in Gurugram), particularly along the Dwarka Expressway,” he says, adding that a growing influx of investments by NRIs is boosting developers focused on the NCR.

Not all prospective homebuyers are sailing in the same boat. Take, for instance, Amit Sharma, 36, a media professional with a working wife and two children aged 8 and 4. The Sharmas, residents of Gurugram in NCR, earn ₹2.2 lakh per month.

Sharma finds that apartments, priced at ₹2.5 crore to ₹3 crore for a three-to-four-bedroom unit with a carpet area of 1,300 square feet, are beyond his reach.

DOWNSIDE RISK

Some industry leaders are pointing to potential risks, including the likely involvement of speculators, riding the luxury market boom.

On March 21, Rajiv Singh, Chairman of DLF Ltd, told industry analysts and investors that a section of homebuyers could be at risk because of their tendency to speculate on a steep rise in prices.